

Testahil — Borouge plc (ADX: BOROUGE)

Companion model · Independent Valuation Study · E

What this workbook is. A transparent companion to the input; every black cell is a formula; green cells link a row says otherwise — Borouge reports in US dollars are converted at the pegged rate held on Assumption

IT IS FORMULA-DRIVEN, AND THAT CLAIM IS TESTED so you can change a blue cell on Assumptions and work from the risk-free rate NET of the sovereign default; the cost of debt is taxed in the sheet; the weights come from the terminal rate is built from its own components; the discount from revenue through EBITDA, EBIT, NOPAT and free cash flow block chains from reinvestment = growth / return on capital ratio and per-share figure is a formula. A driver test moves the whole workbook and confirms the headline moves in

THREE CLASSES OF CELL ARE PASTED, and it is worth

1. Audited and disclosed history — the primary record of disclosed and derivable, the DISCLOSED figure is
2. One output of the unit build: the split of other production leg, fitted by least squares across the three audits, read as a grid, so its two coefficients sit on Assumptions every year of other production cost, in both constant and
3. Whole-model re-runs: the probability map, the sequence behind the normalised-earnings lens, and the second of those cells is a complete revaluation or a complete grid. THESE DO NOT REDRAW WHEN A DRIVER CHANGES the statements, the bridge and all four lenses repeat here.

Anything else pasted would be a defect.

THE COST OF CAPITAL IS FLAT, DELIBERATELY, A constant down over the forecast because the currency is normal company: the dirham is hard-pegged to the dollar, Borouge debt. There is no rate normalisation to glide along, so a live formula pointing at one built cost of capital, and is there so a reader can see the rate used in each year

HOW THE COMPANY IS VALUED, AND WHY. Borouge polyethylene and polypropylene at one integrated company in two countries. There is no lending book, no property portfolio, one operating-company lens — discounted cash flow

against book value and sustainable return, through-c

TWO THINGS TO KNOW BEFORE READING AN

- * BOROUGE 4 IS NOT OWNED. The 1.4 million ton OMV. Borouge plc operates it under an Asset Usage Bridge sheet as a fee stream, never consolidated and footing that the company's OWN capacity is fixed.
- * THE STUDY PUBLISHES TWO ANSWERS, NOT C and a sector bottom-up beta gives a materially different way to a value per share, side by side, everywhere single most consequential judgement in the study.

SHEET GUIDE

Summary

Fundamental Valuation

Assumptions

SOTP Bridge

Segments

Relative & Normalized

DCF

Income Statement

Balance Sheet

Cash Flow

Summary Financials

Monte Carlo

Sensitivity

Per-Share & Ratios

Peer & Sector

educational analysis · Not investment advice

the Borouge valuation study. Every blue cell is an across sheets. Amounts are USD million unless a and its shares trade in dirhams, so per-share figures ns.

TED. Every figure derivable from a driver is a live formula, watch the model reprice. The cost of equity is built spread, beta and the premium rather than pasted; come from net debt and market capitalisation; the discount factors compound; the DCF waterfall chains from cash flow to the firm to present value; the terminal value capital; the statements roll forward; and every perturbation perturbs every input in place, re-evaluates the the right direction, with no dead inputs.

worth knowing exactly which.

word, not a calculation. Where a line is both is carried.

production cost into a fixed leg and a per-tonne over several years. A three-point regression cannot be options and everything downstream of them — reductions — is formula.

sensitivity grids, the mid-cycle revenue and EBITDA factor-beta re-solve of the whole waterfall. Each of the simulation, so it cannot be a formula in a

3 CHANGES — edit an input on Assumptions and the waterfall, price, but those grids keep the values printed

AND THE SHEET SHOWS WHY. Some models glide the discount rate realising off a high policy rate. That is not this Borouge reports in dollars, and its debt is dollar so the per-year discount rate on the DCF sheet is used the discount factors compound off it. The row is rather than infer it.

1ge is a single-segment polyolefin operating company: it makes complex at Ruwais and sells them in more than ninety portfolio and no investment-holding leg, so it takes built from tonnes and dollars per tonne — cross-read

cycle multiples and normalised earnings power.

MY NUMBER.

ne expansion next door is owned 70% by ADNOC and 30% by
ge Agreement and earns a fee. It is valued on the
as capacity, and terminal growth is set on the

ONE. The share's own regression beta is statistically weak,
ferent cost of capital. Both are carried all the
they appear. Averaging them would hide the

.

the headline: four lenses, both betas, and the terminal-value share
the cost of capital built line by line, and the lenses assembled
every driver. Blue cells here are what you change
enterprise value to equity, with the Borouge 4 fee stream separate
the unit build: tonnes, prices and cost per tonne, by product
the through-cycle triangulation and normalised earnings power
the waterfall and the terminal block, both constructions
three audited years and five forecast years
three audited years and five forecast years, rolled forward
linked to the waterfall, not restated
the compact view
the probability map for the traded price (a re-run, not a formula)
value against cost of capital, growth, premium and utilisation
per-share figures and returns, all formulas
the eleven listed peers and why the naive median is rejected

Summary valuation

Value per share in AED. Every figure on this sheet is a live link or formula.

THE FOUR LENSES, ACROSS THE BETA THE STUDY CONTESTS

Lens	Sector bottom-up b
Discounted cash flow — normalisation	1.48
Discounted cash flow — prolonged disruption	1.31
Book value and sustainable return	1.44
Normalised earnings power	1.30
Relative multiples (independent of beta)	1.46

THE ANSWER AGAINST THE MARKET

Navigation normalises during 2026	2.55
Disruption persists into 2027	2.35
Closing price, 3 September 2026	2.35
Navigation normalises, against the close	8.7%
Disruption persists, against the close	0.1%
Cross-checks span (AED)	1.30

THE COST OF CAPITAL BEHIND IT

Weighted average cost of capital — own-stock beta	6.08%
Weighted average cost of capital — sector bottom-up bet	8.60%
Normalised risk-free rate	4.42%
Equity risk premium (rating basis)	4.87%
Terminal growth rate	2.00%

THE PROBABILITY MAP FOR THE TRADED PRICE

Horizon	5th
One month	2.22
Three months	2.07

The two constructions and the two betas are shown side by side and are never averaged. The sp



Own-stock beta	Terminal value % of EV
----------------	------------------------

2.55	76.7%
2.35	80.2%
2.39	
2.35	
1.46	



2.55



Median	95th	Above the close
2.39	2.58	47.7%
2.38	2.74	46.5%

read between them is the honest width of the answer.

[Redacted]

[Redacted]

[Redacted]

[Redacted]

[Redacted]

Fundamental valuation — the cost of capital, built line 1

Nothing on this sheet is pasted. Every rate is assembled from the inputs on Assumptions

RISK-FREE RATE, NORMALISED

US 10-year Treasury yield

Less: US adjusted default spread

Normalised risk-free rate

EQUITY RISK PREMIUM (BOTH BASES PUBLISHED)

Mature-market equity risk premium

Plus: UAE country risk premium (rating basis)

Equity risk premium — rating basis

Equity risk premium — default-spread basis

BETA — THE STUDY'S CENTRAL CONTESTED JUDGEMENT

The share's own five-year weekly regression beta

Sector unlevered beta (global chemicals)

Re-levered at the company's debt-to-equity and tax rate

COST OF EQUITY, COST OF DEBT AND THE WEIGHTS

Cost of equity = risk-free rate + beta x premium

Pre-tax cost of debt (marginal)

After-tax cost of debt

Market capitalisation (USD million)

Net debt (USD million)

Equity weight

Debt weight

Weighted average cost of capital

The two columns are the study's central contested judgement. They are carried side by side

THE FOUR LENSES ASSEMBLED

Lens

Discounted cash flow — normalisation

Discounted cash flow — prolonged disruption

Book value per share (USD)

Sustainable return on equity (three audited years)

Justified price to book = (return - growth) / (cost of equity - growth)

Book value lens — value per share (AED)

Normalised earnings power — value per share (AED)

Relative multiples — value per share (AED), independent of beta

THE ANSWER — the cash-flow lens, both sides of the shipping-lane

Navigation normalises during 2026 (AED)

Disruption persists into 2027 (AED)

The judgement is worth (AED a share)

Closing price, 3 September 2026 (AED)
Navigation normalises, against the close
Disruption persists, against the close

THE FIELD OF CROSS-CHECKS — published beside the answer, n

Lowest lens reading (AED)

Highest lens reading (AED)

RETIRED — the median of the nine readings, published unused (AED)

by line

4.

4.65%

-0.23%

4.42% Country risk is charged once, in the premium below — never twice

4.23%

0.64%

4.87%

4.65% Published alongside: no sovereign credit-default-swap quote exists for

0.415 R-squared 0.094 on 215 weekly observations — statistically weak

0.910

1.021

Own-stock beta Sector bottom-up beta

6.44%

9.39%

5.55%

5.55%

3.96%

3.96%

19,234

3,275

85.5%

14.5%

6.08%

8.60%

side to a value per share everywhere they appear and are never averaged into one number.

Sector bottom-up Own-stock beta

1.48

2.55

1.31

2.35

0.1240

25.3%

3.16x

5.25x

1.44

2.39

1.30

2.35

1.46

1.46

ie judgement

2.55

2.35

0.20

2.35

8.7%

0.1%

ever averaged into it

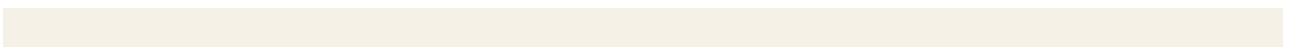
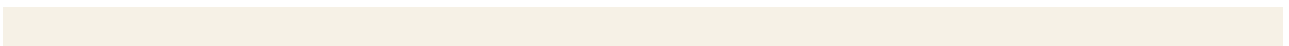
1.30

2.55

1.48



or this sovereign



Assumptions — every driver in the model

Blue = input. Change a blue cell and the whole workbook reprices. Amounts in USD million unless state

MARKET AND SHARE COUNT

Closing price, 7 August 2026	2.35
Dirham per US dollar (pegged since November 1997)	3.6725
Ordinary shares in issue	30,058

COST OF CAPITAL — INPUTS; THE BUILD IS ON FUNDAMENTAL VALUATION

US 10-year Treasury yield	4.65%
US adjusted default spread	0.23%
Mature-market equity risk premium	4.23%
UAE country risk premium	0.64%
UAE adjusted default spread	0.42%
Beta — the share's own five-year weekly regression	0.415
Beta — sector bottom-up, unlevered	0.910
Debt to equity at market value	17.0%
Marginal pre-tax cost of debt	5.55%
Effective tax rate	28.7%

CAPACITY AND THE UNIT BUILD

Polyethylene nameplate capacity	2,750
Polypropylene nameplate capacity	2,230
Sales over production (partner sourcing)	1.0296
Realisation residual — polyethylene	1.0676
Realisation residual — polypropylene	1.0321
Other production cost — fixed leg	790
Other production cost — per tonne of production	0.2006
Feedstock cost per tonne, FY2025 actual	256.2
Polypropylene benchmark, FY2025 actual	851
Contracted ethane real escalation	0.00%
UAE consumer inflation	2.10%

FIXED COSTS, WORKING CAPITAL AND CAPITAL SPEND

General and administrative, FY2025 excluding depreciation	188.0
Other income, FY2025	26.3
Other revenue, FY2025	44.0
Days sales outstanding	50.9
Days inventory	61.8
Days payable	92.5
Capital expenditure guide, 2026	300
Maintenance capital expenditure, steady state	320
Property, plant and equipment, opening	6,082
Equity attributable to owners, 30 June 2026	3,726
Return on equity, FY2023	21.9%
Return on equity, FY2024	27.5%

Return on equity, FY2025	26.6%
Depreciation rate on the property balance	6.58%

TERMINAL BLOCK AND THE BRIDGE

Terminal growth rate	2.00%
Terminal return on capital	12.0%
Net debt	3,275
Lease liabilities	222.7
Non-controlling interests	26.8
Borouge 4 earnings accretion after ramp-up	10.0%
Borouge 4 cumulative net profit, first three years	400

FORECAST DRIVERS — NORMALISATION CONSTRUCTION

	2026
Polyethylene utilisation	86.0%
Polypropylene utilisation	90.0%
Polyethylene benchmark (USD/t)	1,010
Polypropylene benchmark (USD/t)	1,050
Polyethylene premium (USD/t)	260
Polypropylene premium (USD/t)	165
Selling and distribution (USD/t sold)	150
Share of feedstock bought at market price	55.0%

FORECAST DRIVERS — PROLONGED-DISRUPTION CONSTRUCTION

	2026
Polyethylene utilisation	80.0%
Polypropylene utilisation	86.0%
Polyethylene benchmark (USD/t)	1,010
Polypropylene benchmark (USD/t)	1,050
Polyethylene premium (USD/t)	260
Polypropylene premium (USD/t)	165
Selling and distribution (USD/t sold)	172
Share of feedstock bought at market price	62.0%

Every other number in this workbook is computed from the cells above, from the audited history on the

d.

AED per share

AED/USD

million

N

the dollar risk-free anchor

subtracted to normalise the risk-free rate

country risk enters ONCE, here

the alternative premium basis

weak: R-squared 8.8%

Chemical (Diversified) — the SAME industry row the EV/EBITDA anchor uses
for re-levering the sector beta

long dollar rate plus an arm's-length margin

the company's own three-year mean, not the 9% headline

kt a year

kt a year

sales exceed production because Borouge sources from partners — measured from the
three-year mean; computed on Segments

three-year mean; computed on Segments

PASTED CLASS 2: least squares across three audited years

PASTED CLASS 2: USD million per kt, same regression

USD per tonne produced — the base both legs escalate from

the traded leg escalates on THIS, not on consumer inflation

zero: the pricing formula is not disclosed, so none is invented

escalates the DOMESTIC fixed cost leg only

USD million

USD million

USD million, run off at 10% a year

days, from the audited statements

days

days

USD million

USD million a year

USD million at 31 December 2025

USD million — the book-value lens reads this, on the SAME date as the bridge
profit attributable to owners over opening equity, from the audited statements

profit attributable to owners over opening equity, from the audited statements

profit attributable to owners over opening equity, from the audited statements
the H1-2026 charge annualised, over the opening property balance

long-run dollar inflation; owned capacity is fixed
sets the reinvestment the terminal block must fund
USD million at 30 June 2026
USD million
USD million at book
the sponsors' own figure
USD million; the second quantification

2027	2028	2029	2030	
102.0%	103.0%	103.0%	103.0%	103.0%
100.0%	101.0%	101.0%	101.0%	101.0%
900	860	870	885	
930	890	900	915	
210	200	200	200	
145	140	140	140	
100	82	83	85	
35.0%	30.0%	30.0%	30.0%	

2027	2028	2029	2030	
85.0%	93.0%	100.0%	102.0%	
90.0%	96.0%	100.0%	101.0%	
900	860	870	885	
930	890	900	915	
210	200	200	200	
145	140	140	140	
165	140	110	90	
58.0%	45.0%	35.0%	30.0%	

statement sheets, or is one of the three pasted classes named on READ FIRST.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

ie audited record and held flat

[REDACTED]

Enterprise value to equity value

Borouge is one operating business plus one operator fee stream. The fee stream is va

THE BOROUGE 4 FEE STREAM — QUANTIFIED TWO WAYS, TE

From the disclosed three-year cumulative net profit

From the disclosed post-ramp-up earnings accretion

Steady-state fee carried — the LOWER of the two

Ramp-up fraction

Fee to Borouge plc (USD million)

Present value of the fee

Present value of the explicit fee years

Present value of the fee beyond the forecast

Value of the Borouge 4 fee stream

THE BRIDGE — BOTH CONSTRUCTIONS, BOTH BETAS

Enterprise value

Less: net debt

Less: lease liabilities

Less: non-controlling interests

Equity value

Shares in issue (million)

Value per share (USD)

Value per share (AED)

Terminal value as a share of enterprise value

The terminal value share is shown in the bridge itself, live, so a reader can see at a gl

lued separately and never consolidated as owned capacity.

IE LOWER CARRIED

400.0

120.8

120.8 The sponsors' two figures do not agree; the study does not average t

2026	2027	2028	2029	
10.0%	30.0%	60.0%	100.0%	
12.1	36.2	72.5	120.8	
11.4	32.2	60.7	95.4	

289.7

- NIL by construction: the Asset Usage Agreement runs only until the

289.7

Normalisation, o Normalisation, sProlonged, own lProlonged, secto

24,430	15,623	22,778	14,256
(3,275)	(3,275)	(3,275)	(3,275)
(222.7)	(222.7)	(222.7)	(222.7)
(26.8)	(26.8)	(26.8)	(26.8)
20,906	12,098	19,253	10,732
30,058	30,058	30,058	30,058
0.6955	0.4025	0.6405	0.3570
2.55	1.48	2.35	1.31
76.7%	66.0%	80.2%	70.4%

lance how much of each answer rests on the years beyond the forecast rather than inside it.



hem

2030

100.0%

120.8

89.9

assets are acquired by the parent group, which the company says is not anticipated before 2029. A strea



r beta

m that ends cannot carry a perpetuity

Segments — the unit build, tonnes and dollars per tonne

Borouge reports as one operating segment. Volume and price are disclosed by product; cost is a

DISCLOSED HISTORY (PASTED — THE PRIMARY RECORD)

	FY2023
Polyethylene sold (kt)	2,715
Polypropylene sold (kt)	2,285
Total production (kt)	5,116
Polyethylene benchmark (USD/t)	914
Polypropylene benchmark (USD/t)	891
Polyethylene premium (USD/t)	215
Polypropylene premium (USD/t)	125
Polyethylene revenue (USD m)	3,276
Polypropylene revenue (USD m)	2,402
Feedstock (USD per tonne produced)	265.2
Selling and distribution (USD per tonne sold)	78.1

THE REALISATION RESIDUAL, COMPUTED FROM THAT HISTORY

	FY2023
Polyethylene: revenue per tonne / (benchmark + premium)	1.0688
Polypropylene: revenue per tonne / (benchmark + premium)	1.0346

The residual is the bridge from a published benchmark to the company's own printed top line. It

THE FORECAST UNIT BUILD — NORMALISATION CONSTRUCTION

	2026
Polyethylene volume (kt) = capacity x utilisation	2,365
Polypropylene volume (kt) = capacity x utilisation	2,007
Total volume (kt)	4,372
Polyethylene realised price (USD/t)	1,355.8
Polypropylene realised price (USD/t)	1,254.0
Feedstock (USD per tonne produced)	289.1

THE FORECAST UNIT BUILD — PROLONGED-DISRUPTION CONSTRUCTION

	2026
Polyethylene volume (kt) = capacity x utilisation	2,200
Polypropylene volume (kt) = capacity x utilisation	1,918
Total volume (kt)	4,118
Polyethylene realised price (USD/t)	1,355.8
Polypropylene realised price (USD/t)	1,254.0
Feedstock (USD per tonne produced)	293.3

Two escalators, because there are two physically different inputs: contracted ethane escalates o

located on the disclosed physical drivers.

FY2024	FY2025
3,072	3,053
2,253	2,322
5,216	5,055
898	822
897	851
197	224
150	134
3,559	3,436
2,421	2,368
246.9	256.2
88.5	77.2

FY2024	FY2025	Three-year mean
1.0580	1.0760	1.0676
1.0263	1.0353	1.0321

is computed here from disclosed revenue, volume, benchmark and premium — not assumed.

2027	2028	2029	2030
2,805	2,833	2,833	2,833
2,230	2,252	2,252	2,252
5,035	5,085	5,085	5,085
1,185.0	1,131.6	1,142.3	1,158.3
1,109.5	1,063.1	1,073.4	1,088.9
264.5	259.7	260.6	262.0

CTION

2027	2028	2029	2030
2,338	2,558	2,750	2,805
2,007	2,141	2,230	2,252
4,345	4,698	4,980	5,057
1,185.0	1,131.6	1,142.3	1,158.3
1,109.5	1,063.1	1,073.4	1,088.9
270.0	261.5	261.3	262.0

in its own terms, purchased propylene on the propylene benchmark. A single blended cost index ac

[Redacted]

[Redacted]

[Redacted]

[Redacted]

[Redacted]

ross both would manufacture a margin t

Relative multiples and normalised earnings power

The multiple is triangulated on the sheet from three through-cycle anchors, and averaged here rather

WHY THE PEER MEDIAN IS REJECTED

Listed peers observed	11
Of which loss-making on trailing net income	9
Of which enterprise value to EBITDA is undefined	2
Naive median of whatever prints	13.39x

THE THROUGH-CYCLE TRIANGULATION

LyondellBasell ten-year median EV/EBITDA	7.18x
Industries Qatar current EV/EBITDA	9.90x
Damodaran global Chemical (Diversified) sector EV/EBITDA	8.66x
Adopted multiple — the median of the three anchors	8.66x

THE RELATIVE LENS

Mid-cycle EBITDA (USD million)	1,754
Enterprise value = multiple x mid-cycle EBITDA	15,183
Add: the Borouge 4 fee stream, on the same basis as the cash-flo	289.7
Enterprise value including the fee stream	15,473
Less: net debt, leases and non-controlling interests	(3,525)
Equity value	11,948
Relative lens — value per share (AED)	1.46

NORMALISED EARNINGS POWER

Mid-cycle is DERIVED from the audited record, not asserted: utilisation is the mean of the two most re

Mid-cycle polyethylene utilisation	106.0%
Mid-cycle polypropylene utilisation	99.0%
Mid-cycle polyethylene benchmark (USD/t)	878
Mid-cycle polypropylene benchmark (USD/t)	880
Through-the-cycle polyethylene premium (USD/t)	200
Through-the-cycle polypropylene premium (USD/t)	140
Mid-cycle selling and distribution (USD/t)	81.3
Mid-cycle depreciation and amortisation (USD m)	400
Mid-cycle polyethylene volume (kt)	2,915
Mid-cycle polypropylene volume (kt)	2,208
Mid-cycle volume (kt)	5,123
Mid-cycle revenue (USD million)	5,678
Less: feedstock	1,312
Less: other production cost	1,818
Less: selling and distribution	416
Less: general and administrative	188.0
Mid-cycle EBITDA	1,944
Mid-cycle EBIT	1,544
Mid-cycle NOPAT	1,100
Enterprise value = NOPAT x (1 - reinvestment) / (cost of capital -	22,760

Normalised earnings lens — own-stock beta (AED)	2.35
Normalised earnings lens — sector bottom-up beta (AED)	1.30

Every line of the normalised block above is a live formula off the same capacity, realisation residual ar

than asserted.

Rejected: a median across collapsed denominators measures the trough, not the multiple

The third forecast year of each construction, averaged — the mid-point of the cycle the stud

The same separable asset the cash-flow lens carries. Omitting it here valued three different

percent audited years and the benchmark is the mean of the three audited annual averages. B

id cost stack the forecast uses. Change a driver on Assumptions and this lens moves with it.



ly models

. companies under three lenses



oth therefore contain a turnaround year and a soft-price year, and ne

Discounted cash flow — the waterfall and the terminal block

USD million. Both constructions. Every cell below is a formula.

WATERFALL — NORMALISATION CONSTRUCTION

	2026
Revenue	5,932
Less: feedstock	1,264
Less: other production cost	1,684
Less: selling and distribution	675
Less: general and administrative	191.9
Add: other income	26.9
EBITDA	2,144
EBITDA margin = EBITDA / revenue	36.1%
Less: depreciation and amortisation	400
EBIT = EBITDA less depreciation and amortisation	1,744
NOPAT = EBIT x (1 - tax rate)	1,243
Add back: depreciation and amortisation	400
Less: capital expenditure	300
Less: increase in working capital	24.5
Free cash flow to the firm	1,319
Discount rate applied	6.08%
Discount factor	0.9427
Present value of free cash flow to the firm	1,243

TERMINAL BLOCK — NORMALISATION

Final-year NOPAT	1,209
Terminal NOPAT = final-year NOPAT x (1 + growth)	1,233
Reinvestment rate = growth / return on capital	16.7%
Terminal free cash flow = NOPAT x (1 - reinvestment rate)	1,027
Terminal value = terminal cash flow / (cost of capital - growth)	25,179
Present value of the terminal value	18,744
Present value of the explicit five years	5,397
Enterprise value of the owned business	24,141

WATERFALL — PROLONGED-DISRUPTION CONSTRUCTION

	2026
Revenue	5,587
Less: feedstock	1,208
Less: other production cost	1,633
Less: selling and distribution	729
Less: general and administrative	191.9
Add: other income	26.9
EBITDA	1,852
EBITDA margin = EBITDA / revenue	33.1%
Less: depreciation and amortisation	400
EBIT = EBITDA less depreciation and amortisation	1,452

NOPAT = EBIT x (1 - tax rate)	1,035
Add back: depreciation and amortisation	400
Less: capital expenditure	300
Less: increase in working capital	(14.7)
Free cash flow to the firm	1,149
Discount rate applied	6.08%
Discount factor	0.9427
Present value of free cash flow to the firm	1,084

TERMINAL BLOCK — PROLONGED DISRUPTION

Final-year NOPAT	1,178
Terminal NOPAT = final-year NOPAT x (1 + growth)	1,201
Reinvestment rate = growth / return on capital	16.7%
Terminal free cash flow = NOPAT x (1 - reinvestment rate)	1,001
Terminal value = terminal cash flow / (cost of capital - growth)	24,530
Present value of the terminal value	18,261
Present value of the explicit five years	4,289
Enterprise value of the owned business	22,550

VALUE PER SHARE — FOUR READINGS, NEVER AVERAGED

Construction and beta	Enterprise value
Normalisation, own-stock beta	24,430
Normalisation, sector bottom-up beta	15,623
Prolonged disruption, own-stock beta	22,778
Prolonged disruption, sector bottom-up beta	14,256

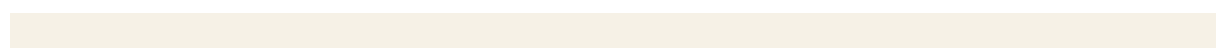
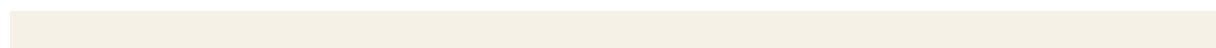
The sector-beta enterprise values are a complete re-solve of the same waterfall at the other cost of



2027	2028	2029	2030	
6,005	5,797	5,849	5,929	
1,332	1,321	1,325	1,332	
1,834	1,861	1,878	1,896	
518	429	435	445	
196.0	200.1	204.3	208.6	
27.4	28.0	28.6	29.2	
2,153	2,015	2,035	2,076	
35.9%	34.8%	34.8%	35.0%	
393	389	384	380	
1,760	1,626	1,651	1,696	
1,254	1,159	1,177	1,209	
393	389	384	380	
320	320	320	320	
(8.1)	(30.3)	5.4	9.0	
1,335	1,258	1,236	1,260	
6.08%	6.08%	6.08%	6.08%	
0.8886	0.8377	0.7897	0.7444	
1,187	1,054	976	938	

2027	2028	2029	2030	
5,180	5,355	5,728	5,896	
1,173	1,228	1,301	1,325	
1,695	1,783	1,857	1,891	
738	677	564	469	
196.0	200.1	204.3	208.6	
27.4	28.0	28.6	29.2	
1,406	1,494	1,829	2,032	
27.1%	27.9%	31.9%	34.5%	
393	389	384	380	
1,012	1,105	1,445	1,652	

721	788	1,030	1,178
393	389	384	380
320	320	320	320
(59.0)	12.3	39.6	18.7
854	844	1,054	1,219
6.08%	6.08%	6.08%	6.08%
0.8886	0.8377	0.7897	0.7444
759	707	832	907



Equity value	Value per share	Terminal value	Value per share (AED)
20,906	0.6955	76.7%	2.55
12,098	0.4025	66.0%	1.48
19,253	0.6405	80.2%	2.35
10,732	0.3570	70.4%	1.31

capital — a whole-model re-run, so they are carried as values rather than as a second live chain, an



id they do not redraw when a driver cha

Income statement — three audited years and five forecast years

USD million. Historical columns are the audited figures; forecast columns are formulas from the waterfall.

	FY2023	FY2024
Revenue	5,791	6,026
Cost of sales	3,627	3,491
Gross profit	2,164	2,535
Selling and distribution	399	472
General and administrative	183	193
Other income	17.4	54.0
Operating profit (EBIT)	1,597	1,921
Depreciation and amortisation	572	553
EBITDA	2,169	2,474
Net finance cost	196.2	175.6
Profit before tax	1,401	1,745
Tax	400	506
Profit after tax	1,001	1,239

The forecast operating lines are the same cells as the cash-flow waterfall, linked rather than restated. T



all.

FY2025	2026	2027	2028	2029
5,848	5,932	6,005	5,797	5,849
3,566	3,348	3,559	3,570	3,588
2,282	2,584	2,447	2,227	2,262
416	675	518	429	435
197	191.9	196.0	200.1	204.3
26.3	26.9	27.4	28.0	28.6
1,694	1,744	1,760	1,626	1,651
476	400	393	389	384
2,170	2,144	2,153	2,015	2,035
154.2	181.8	181.8	181.8	181.8
1,540	1,562	1,578	1,444	1,470
441	449	453	415	422
1,099	1,113	1,124	1,029	1,047

he finance cost below EBIT is the net debt balance at the marginal cost of debt — it does nc



2030

5,929

3,608

2,321

445

208.6

29.2

1,696

380

2,076

181.8

1,514

435

1,079

It enters free cash flow to the firm, w

Balance sheet — three audited years and five forecast years

USD million. The forecast rolls property, working capital and net debt forward from the drivers; nothing

	FY2023	FY2024
Property, plant and equipment	6,677	6,293
Trade receivables	797	859
Inventory	645	641
Cash and equivalents	354	419
Total assets (memo: audited)	8,944	8,707
Trade payables	875	877
Borrowings	3,141	2,944
Equity	4,532	4,463
Net working capital	566	622
Net debt	2,787	2,526

Receivables, inventory and payables are projected from the days the audited statements themselves shc



j is plugged.

FY2025	2026	2027	2028	2029
6,082	5,982	5,909	5,840	5,776
808	827	837	808	816
524	499	536	539	543
427	290	170	(28)	(248)
8,489	7,599	7,452	7,160	6,887
955	747	802	806	812
2,958	2,958	2,958	2,958	2,958
4,089	3,876	3,675	3,378	3,100
377	579	571	541	546
2,531	2,668	2,788	2,985	3,205

ow — fifty-one days of sales, sixty-two days of inventory, ninety-two days of payables. Nothin



2030

5,716

827

547

(443)

6,646

818

2,958

2,853

555

3,401

g on this sheet is a balancing figure.

Cash flow — linked to the waterfall, not restated

USD million. The forecast columns are the same cells the valuation discounts.

	FY2023	FY2024
EBITDA	2,169	2,474
Less: increase in working capital		
Less: tax on operating profit	400	506
Cash from operations	1,769	1,913
Less: capital expenditure	199	167
Free cash flow to the firm	1,570	1,746
Less: net finance cost after tax		
Less: dividend		
Free cash flow to equity		

Cash from operations reconciles to free cash flow to the firm through capital expenditure alone, because



FY2025	2026	2027	2028	2029
2,170	2,144	2,153	2,015	2,035
	24.5	(8.1)	(30.3)	5.4
441	501	506	467	475
1,921	1,619	1,655	1,578	1,556
308	300	320	320	320
1,613	1,319	1,335	1,258	1,236
	129.5	129.5	129.5	129.5
	1,326	1,326	1,326	1,326
	(137)	(120)	(198)	(220)

e the working-capital movement and the tax on operating profit are already inside it. The di



2030

2,076

9.0

487

1,580

320

1,260

129.5

1,326

(196)

vidend is the company's own stated i

Summary financials

USD million. Every cell is a link or a formula.

	FY2023	FY2024
Revenue	5,791	6,026
EBITDA	2,169	2,474
EBITDA margin	37.5%	41.0%
EBIT	1,597	1,921
Profit after tax	1,001	1,239
Free cash flow to the firm	1,570	1,746
Capital expenditure	199	167
Net debt	2,787	2,526
Net debt to EBITDA	1.28x	1.02x



FY2025	2026	2027	2028	2029
5,848	5,932	6,005	5,797	5,849
2,170	2,144	2,153	2,015	2,035
37.1%	36.1%	35.9%	34.8%	34.8%
1,694	1,744	1,760	1,626	1,651
1,099	1,113	1,124	1,029	1,047
1,613	1,319	1,335	1,258	1,236
308	300	320	320	320
2,531	2,668	2,788	2,985	3,205
1.17x	1.24x	1.29x	1.48x	1.57x



2030

5,929

2,076

35.0%

1,696

1,079

1,260

320

3,401

1.64x

Probability map for the traded price

Each figure is the outcome of a 50,000-path simulation on the cleaned price history — a co

THE SIMULATION AS IT WAS RUN

Anchor close (AED)	2.40
Anchor date	2026-08-07
Paths	50,000
Risk-free rate	3.65%
Dividend yield (16.2 fils on the close)	6.75%
Net carry a year	-3.10%

PERCENTILE MAP (AED PER SHARE)

Horizon	Ends
One month	2026-09-07
Three months	2026-11-09

LEVEL-TOUCH LADDER — CHANCE THE PRICE TRADES THROUG

Move from the close	Level (AED)
Up 5%	2.52
Down 5%	2.28
Up 10%	2.64
Down 10%	2.16
Up 15%	2.76
Down 15%	2.04
Up 20%	2.88
Down 20%	1.92

The percentile map and the touch ladder are simulation output. The level column beside t

complete re-run, not a formula. THIS MAP DOES NOT REDRAW WHEN A DRIVER CHANGES

5th	25th	Median	75th	
	2.22	2.33	2.39	2.46
	2.07	2.26	2.38	2.51

H A LEVEL AT ANY POINT

One month	Three months
20.2%	46.4%
21.1%	50.4%
3.0%	19.6%
2.4%	19.5%
0.4%	7.7%
0.2%	5.9%
0.1%	3.0%
0.0%	1.6%

hem is a live formula off the close, so the ladder's rungs move if the anchor changes even th



3.



95th	Above the close	
	2.58	47.7%
	2.74	46.5%



ough the probabilities beside them do not.

Sensitivity — each cell is a complete revaluation

THESE GRIDS DO NOT REDRAW WHEN A DRIVER CHANGES. Value per share in AED, normalisati

COST OF CAPITAL AGAINST TERMINAL GROWTH

Cost of capital \ growth	1.0%	1.5%
5.08%	2.90	3.14
5.58%	2.55	2.72
6.08%	2.27	2.40
6.58%	2.04	2.13
7.08%	1.84	1.92

REALISED PREMIUM OVER THE BENCHMARK (USD PER TONNE)

Shift	Normalisation	Prolonged disr
-100	1.61	1.43
-50	2.08	1.89
+0	2.55	2.35
+50	3.02	2.81
+100	3.49	3.28

UTILISATION

Shift	Normalisation	Prolonged disr
-10%	2.03	1.84
-5%	2.29	2.10
+0%	2.55	2.35
+5%	2.82	2.61
+10%	3.08	2.87

Every cell above is the whole valuation solved again at that pair of inputs. That is why they are value



on construction, own-stock beta.



2.0%	2.5%	3.0%	
	3.46	3.91	4.56
	2.95	3.24	3.64
	2.55	2.76	3.02
	2.25	2.39	2.57
	2.00	2.10	2.23



option



option

s rather than formulas, and why they are named as a pasted class on READ FIRST.

██████████

████████████████████

████████████████████

████████████████████

Per-share figures and returns

Every cell is a formula.

	FY2023	FY2024
Earnings per share (USD)	0.0333	0.0412
Earnings per share (AED)	0.122	0.151
Book value per share (AED)	0.554	0.545
Return on equity	22.1%	27.8%
Return on invested capital	15.7%	19.8%
EBITDA margin	37.5%	41.0%
Net debt to EBITDA	1.28x	1.02x
Dividend per share (AED)	0.162	0.162
Payout ratio	132.5%	107.0%

The dividend per share is the company's own stated annual intention of 16.2 fils. It is held flat rather than



FY2025	2026	2027	2028	2029
0.0366	0.0370	0.0374	0.0342	0.0348
0.134	0.136	0.137	0.126	0.128
0.500	0.474	0.449	0.413	0.379
26.9%	28.7%	30.6%	30.5%	33.8%
18.7%	18.9%	19.4%	18.2%	18.6%
37.1%	36.1%	35.9%	34.8%	34.8%
1.17x	1.24x	1.29x	1.48x	1.57x
0.162	0.162	0.162	0.162	0.162
120.6%	119.1%	117.9%	128.8%	126.6%

an grown, because the company states an intention, not a policy formula.



2030

0.0359
0.132
0.349
37.8%
19.3%
35.0%
1.64x
0.162
122.9%

Listed peers — a cross-check, never a source

Observed 9 August 2026. Shown to explain why the naive median is rejected, not to set the mu

Company	EV / EBITDA	Forward P/E
SABIC (Tadawul 2010)	10.83x	24.65x
Saudi Kayan (2350)	32.52x -	
Yansab (2290)	12.24x	33.04x
Industries Qatar (IQCD)	9.90x	17.04x
LyondellBasell (LYB)	12.96x	7.42x
Dow Inc (DOW)	13.39x	13.74x
Formosa Plastics (1301)	55.97x	14.80x
LG Chem (051910)	13.39x	15.48x
Petronas Chemicals (PCHEM)	22.92x	21.18x
Westlake (WLK)	-	20.34x
Braskem (BAK)	-	-
Median of the multiples that print	13.39x	REJECTED — see Rel

BOROUGE ON THE SAME BASIS, FOR CONTRAST

EV / EBITDA	12.02x
Forward P/E	9.19x
Dividend yield	6.8%
EBITDA margin	33.1%

Borouge earns an EBITDA margin roughly three times the peer group's while nine of the eleven

multiple.

Price to book	Dividend yield	EBITDA margin	Net margin
1.02x	4.4%	13.9%	(19.7%)
0.99x	-	6.0%	(30.1%)
1.61x	6.7%	20.4%	4.9%
1.86x	6.4%	-	-
1.80x	4.6%	7.7%	(1.1%)
1.34x	4.8%	6.6%	(3.1%)
0.91x	0.9%	1.6%	(4.0%)
0.43x	0.7%	10.0%	(4.5%)
0.97x	1.6%	5.1%	(6.4%)
1.14x	2.7%	(0.7%)	(10.9%)
-	-	(0.1%)	(13.7%)

relative & Normalized

are loss-making. That is the advantaged-feedstock position, and it is the reason a pe



Loss-making

- yes
- yes
- no
- no
- yes
- yes
- yes
- yes
- yes
- yes
- yes



er median cannot be applied to it directly.